

Roth IRA vs. Traditional IRA: Which Is Better for Your Retirement Plan?

One of the most common questions we hear from clients is simple: *Should I contribute to a Roth IRA or a Traditional IRA?*

Both options are excellent retirement tools. The right choice depends on your tax situation, your long-term goals, and how you want your retirement income to work for you.

Let's walk through the key differences in plain English so you can make a confident decision.

The Big Difference: Taxes Now or Taxes Later

At its core, the Roth vs. Traditional IRA decision is about timing your taxes.

Traditional IRA:

- Contributions may be tax-deductible today
- Investments grow tax-deferred
- Withdrawals in retirement are taxed as income

Roth IRA:

- Contributions are made with after-tax dollars
- Investments grow tax-free
- Qualified withdrawals in retirement are tax-free

In short: Traditional IRAs can lower taxes today. Roth IRAs can lower taxes in retirement.

When a Traditional IRA Might Make Sense

A Traditional IRA can be a strong choice if you expect to be in a lower tax bracket in retirement than you are today.

This might apply if:

- You are in your peak earning years

- You want to reduce taxable income now
- You plan to retire with less income
- You expect tax rates to be stable or lower in the future

For some families, the immediate tax deduction provides meaningful savings and improves cash flow.

When a Roth IRA Might Make Sense

A Roth IRA can be powerful if you expect taxes to be higher in the future—or if you value tax-free income flexibility later in life.

A Roth may make sense if:

- You are early in your career
- Your current tax rate is relatively low
- You expect higher income later
- You want tax-free withdrawals in retirement
- You want to avoid required minimum distributions
- You want to leave tax-free assets to heirs

Roth accounts can also provide flexibility when managing taxes during retirement.

Income Limits and Contribution Rules

Not everyone can deduct Traditional IRA contributions, and not everyone can contribute directly to a Roth IRA due to income limits.

Options may include:

- Partial Roth contributions
- Backdoor Roth strategies
- Non-deductible Traditional IRA contributions
- Spousal IRAs

Because these rules change over time, it's important to review your eligibility each year.

The Power of Diversification: You May Not Have to Choose Just One

Many people assume they must pick either a Roth or a Traditional IRA. In reality, having both can be a smart strategy.

Tax diversification gives you flexibility to manage income and taxes in retirement. You can draw from taxable, tax-deferred, and tax-free accounts depending on market conditions and tax law changes.

This flexibility often leads to better long-term outcomes than relying on a single account type.

What About Roth Conversions?

If you already have a Traditional IRA or 401(k), a Roth conversion may be an option. This means paying taxes now to move money into a Roth account where it can grow tax-free.

Conversions can be useful during lower-income years, early retirement, or when markets are down. However, they must be evaluated carefully to avoid unexpected tax consequences.

The Right Choice Depends on Your Plan

There is no universal answer to Roth vs. Traditional IRA. The best choice depends on your income, tax bracket, retirement goals, and legacy plans.

That's why we recommend looking at this decision as part of a full retirement income strategy—not in isolation. When we help families evaluate this choice, we model different scenarios to see how taxes, investment growth, and withdrawals work together over time.

Ready to Make the Right Choice for You?

If you're unsure which IRA option fits your situation, a quick review can help you make a confident decision. A thoughtful strategy today can save thousands in taxes and give you more flexibility in retirement.

We're always happy to walk through your options and help you build a plan that fits your goals, your timeline, and your life.

